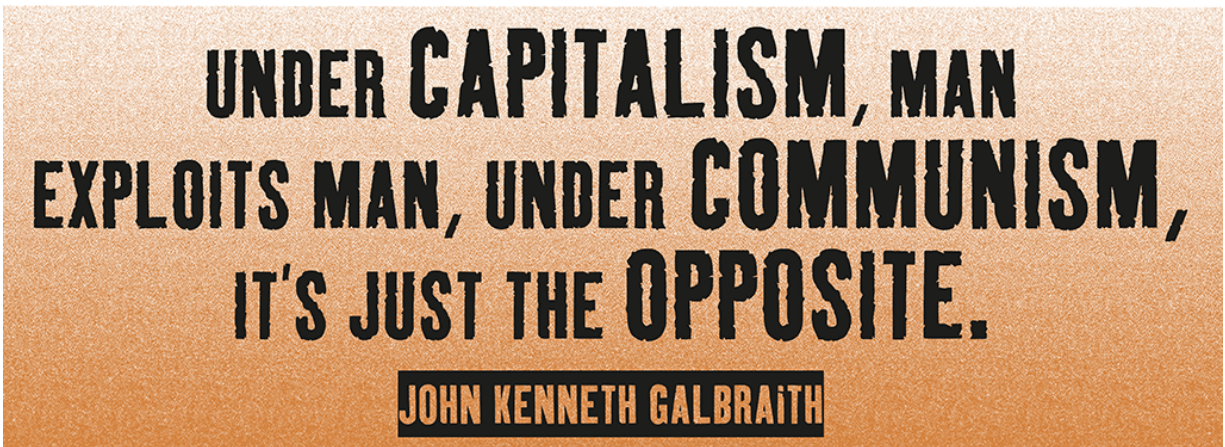


there are often many different kinds of shareholder, not just individual investors. Some shares are bought by investment companies, banks, and pension funds, some by the directors and workers in the company, and others by other companies or even governments.



Mixing it up

In a capitalist free-market economy, most companies are owned by private investors—individuals or companies—although the government may also hold some shares. But there are some industries in which the government often has a controlling interest, holding the majority of the shares, or owning the company. These nationalized industries, or state-owned enterprises, usually provide important facilities such as mail, health care, and public transportation, but also essential services such as the police and defense forces. Most countries today have some form of “mixed economy,” with varying proportions of private and state-owned industries. This is as much for political as economic reasons, and demonstrates the key difference between capitalism (private ownership of capital) and socialism or communism (state ownership of the means of production).